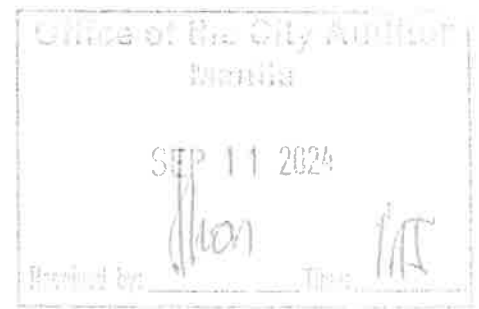




Republic of the Philippines
City of Manila
OFFICE OF THE CITY ACCOUNTANT



September 11, 2024

Mr. Jose Dennis G. Isip
Supervising Auditor
Office of the City Auditor's
Manila

Dear Auditor Isip,

We are transmitting herewith the **Agency Action Plan and Status of Implementation**
(Audit Observations and Recommendations) **For the Calendar Year 2023 as of July 31, 2024.**

Thank you very much!

Respectfully,


JONATHAN R. GALORIO
Assistant City Accountant
Officer-In-Charge

CITY OF MANILA
AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION
Audit Observations and Recommendations
For the Calendar Year 2023
As of 31 July 2024

Reference	Audit Observations	Audit Recommendations	AGENCY ACTION PLAN				Status of Implementation	Reason for Partial/Delay/Non-Implementation, if applicable	Action Taken/Action to be Taken
			Action Plan	Person/Dept. Responsible	Target Implementation Date				
					From	To			
AAR 2023 Observation No. 1 Page 79	1. The accuracy of the Cash-In-Bank (CIB) accounts balance as of December 31, 2023, amounting to P9.237 billion could not be established due to: 1) unreconciled variance of P106.634 million between books balances and the result of bank confirmations, and 2) accumulated unadjusted book reconciling items for several years totaling P182.123 million, mainly due to lapses in the preparation and submission of Bank Reconciliation Statements (BRS) contrary to Section 74 of Presidential Decree (PD) No. 1445. Thus, affected the fair presentation of the FS.	We recommended and Management agreed that the OCAT and the CTO:		OCAT and CTO	2023	2024	Fully Implemented		Submitted the Bank Reconciliation Statements for the CIB Accounts affected
		1.7.1. Reconcile the variances between the balances per bank confirmations and book balance, and accordingly effect the necessary adjustments to reflect correct ending balances of CIB accounts;							
		1.7.2. Cause the timely preparation and submission of monthly BRSs for each bank account pursuant to Section 74 of P.D. No. 1445; and		OCAT and CTO	2023	2024	Fully Implemented		Submitted the Bank Reconciliation Statements for the CIB Accounts affected
		1.7.3. Formulate a document tracking system to establish accountability for records to provide an effective internal control tool for documentation and recording of the City's transactions.		OCAT and CTO	2023	2024	Fully Implemented		The OCAT and CTO is currently implementing a document tracking system that will ensure the proper and timely recording of the financial transactions of the City
AAR 2023 Observation No. 2 Page 82	2. The accuracy, completeness, and reliability of the year-end balance of AP amounting to P4.577 billion could not be determined due to net understatement variance of P525.234 million from confirmation results with contractors/suppliers as against balances per books contrary to Paragraph 27 of International Public Sector Accounting Standard 1 (IPSAS). Thus, affecting the fair presentation of the FS.	We recommended that Management direct: The OCAT to: 2.9.1.1. Identify the causes of variances between recorded accounts payable and the contractors/suppliers' confirmed balances and reconcile the same;		OCAT	2023	2024	Fully Implemented		The OCAT already undertaken actions to properly account the payables per Supplier. The amount of the variance is already recorded thru JEV No. 100-24-04-06 dated June 15, 2024

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AAR 2023 Observation No. 3 Page 85		2.9.1.2. Coordinate with the City General Services Office as to status of deliveries of goods and services and recognize the corresponding liability if no payment had been made; and	OCAT		2023 2024	Fully Implemented		The OCAT is already in close coordination with CGSO regarding the status of deliveries of goods and services procured by the City for recording purposes
		2.9.1.3. Maintain a separate SL for each contractor/supplier for proper monitoring of each outstanding payable and status of accounts.	OCAT		2023 2024	Fully Implemented		The OCAT already undertaken actions to properly account the payables per Supplier.
		2.9.2. The City General Service Office to promptly Inform the OCAT of deliveries of procured goods and services and furnish the latter with required documents to support the timely recording of transactions.	CGSO		2023 2024	Fully Implemented		The OCAT is already in close coordination with CGSO regarding the status of deliveries of goods and services procured by the City for recording purposes
	3. Insufficient Imposition of RPT and SET by the City due to: 1) misplaced application of the Assessment Levels (ALs) prescribed under Section 12 of Ordinance No. 8331, s.Series of 2013; ; and 2) omission of 1,130 RPU's in the Assessment Rolls (AR) contrary to Section 2, Chapter II, Manual on Real Property Appraisal and Assessment Operations (MRPAAO)), , thereby diminishing the City's earnings to be utilized to finance its programs/projects/activities (PPAs).	The Office of the City Assessor –	Office of the City Assessor		2024 2024	Ongoing		The City Assessor Office is currently reviewing the assessment levels of the purposes of proper RPT and SET Imposition
		3.16.1.1. Ensure that Assessment Levels and Assessed Values are accurately computed and provided;						
		3.16.1.2. Submit to the Auditor's Office the updated copies of Tax Declaration as proof of corrections/updates made to the 452 RPU's;	Office of the City Assessor		2024 2024	Ongoing		The City Assessor's Office is currently in the process of completing the required Tax Declarations for audit. As of 31 July 2024, we are partially submitting 85 adjusted Tax Declaration. We commit to submit the lacking documents as soon as possible

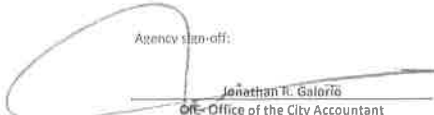
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		3.16.1.3. Appraise and assess the RPUs not Included in the Assessment Roll and submit copies of tax declaration as proof appraisal and assessment;		Office of the City Assessor	2024	2024	Ongoing		The City Assessor Office is currently reviewing the assessment levels of the purposes of proper RPT and SET Imposition
		3.16.1.4. Review other tax maps not Included in the sample to ensure that RPUs inscribed therein are included in the AR; and		Office of the City Assessor	2024	2024	Ongoing		The City Assessor Office is currently reviewing the assessment levels of the purposes of proper RPT and SET Imposition
		3.16.1.5. Henceforth, ascertain that RPUs in the tax maps are Included in the AR.		Office of the City Assessor	2024	2024	Ongoing		The City Assessor Office is currently reviewing the assessment levels of the purposes of proper RPT and SET Imposition
		3.16.2. The Office of the City Treasurer charge and collect from taxpayers the amount of P3,336,539.51 that were under Imposed in CY 2023 due to erroneous application of the Assessment Level, and henceforth, ensure that correct amount of taxes is Imposed/collected.		CTO	2024	2024	Ongoing		The City Assessor Office is currently reviewing the assessment levels of the purposes of proper RPT and SET Imposition. Once the review of the Assessment Levels is done, the CTO will collect the tax deficiencies.

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AAR 2023 Observation No. 4 Page 90	4. Out of 222 Gender and Development (GAD) Programs/Projects/Activities (PPAs), 22 were unimplemented and 84 were not reported in the GAD Accomplishment Report (AR) or have no status contrary to. RA No. 9710 Thus, the City's objective of ensuring awareness and sustaining support for gender and development, women's empowerment and response to gender issues were not fully realized.	We recommended that Management direct/instruct the GFPS to: 4.12.1. Regularly monitor and evaluate the utilization of the GPB to ensure that PPAs are fully implemented as planned and challenges that cause non-implementation, if any, are identified and addressed; 4.12.2. Ensure that only PPAs listed in the approved GPB will be charged against the GAD Fund; and 4.12.3. Comply with the provisions of the JMCs discussed and RA No. 9710 and its IRR.	Office of the City Mayor	2024	2024	Ongoing		The GFPS directed the GAD Focal Persons to carry over the unimplemented 2023 PPAs to the 2024 GAD PPAs. As a remedial measure for the unimplemented CAP DEV or Trainings on GAD, the City Personnel Office would be conducting Seminar-Workshop on GAD Mainstreaming on September 16-17, 2024 which would be participated by employees/representatives from the 44 Departments. Further, In our 3rd and 4th GAD TWG Meetings we included In the Agenda GAD Planning & Budgeting to empower the newly appointed GAD Focal Persons to See above	
			Office of the City Mayor	2024	2024	Ongoing		See above	
AAR 2023 Observation No. 5 Page 93	5. A total of P472.416 million withheld for CY 2023 remittances to the BIR, GSIS, Pag-IBIG and PhilHealth have not been remitted by the City contrary to existing rules and regulations.	5.11. We recommended and Management agreed to ensure prompt and full remittance of all withholding taxes, contributions, premium payments, loan amortization and other amounts due to the BIR, GSIS, Pag-IBIG and PhilHealth pursuant to the above-mentioned regulations.	OCAT and CTO	2024	2024	Ongoing	Issues related to employees details and information (for Clarif Items) for GSIS. On the other hand the amount payable to BIR reflects the withholding taxes related to unpaid payable to different suppliers.	The OCAT in coordination with CTO is continuously remitting the remaining unremitted amount to date.	

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AAR 2023 Observation No. 6 Page 95	6. The City was unable to identify and appropriate various PPAs for LCCAP in CY 2023, which is not In consonance with Section 14 of Republic Act (RA) No. 9729, otherwise known as the Climate Change Act of 2009, as amended.	We recommended and Management agreed to: 6.11.1. Promptly create the City's LCCAP Core Team in accordance with Pparagraph. 3.1.1 of DILG-MC No. 2014-135 and Section. 7 of the City's LCCAP to facilitate the proper planning, prioritization, funding, Implementation and monitoring/assessment of proposed climate change PPAs; and 6.11.2. Ensure that approved climate change PPAs are aligned with the City's LCCAP and funded from the City's IRA (now NTA) In accordance with Section. 14 of RA No. 9729.		Office of the City Mayor			Ongoing	The management Is currently in the process of creating the Core Team. The necessary documents will be submitted to COA once finalized and approved.	
				Office of the City Mayor			Ongoing		
CY 2022 AAR, Observation No. 6, Page 81	7. The City has not remitted P393.564 million representing the amounts withheld as of December 31, 2022 for the accounts of the BIR, GSIS, Pag-IBIG and PhilHealth, contrary to the appertaining legal prescriptions.	We reiterated our recommendation that Management direct the OCAT and CTO to remit the P393.564 million to the BIR, GSIS, Pag-IBIG and PhilHealth without further delay.		OCAT and CTO			Ongoing	Issues related to employees details and information (for Clarif items) for GSIS. On the other hand the amount payable to BIR reflects the date. withholding taxes related to unpaid payable to different suppliers.	The OCAT in coordination with CTO Is continuously remitting the remaining unremitted amount to
CY 2021 AAR, Observation No. 4, Page 83	8. Seven hundred twenty-three (723) cases of double payment of emergency subsidy/financial assistance (FA) to beneficiaries In COVID-19 lockdown translated to a total payment of P8.424 million In excess of the amounts legally authorized.	We recommended that Management: a. Establish the accountability for and recover the excess payment of emergency subsidy and FA; and b. In coordination with the DSWD, supply the missing beneficiary information necessary In the full validation of the payments of the subject emergency subsidy/FA.		Office of the Mayor/ Manila Department of Social Welfare/ City Legal Office			Ongoing		
				Office of the Mayor/ Manila Department of Social Welfare			Ongoing		

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CY 2018 AAR, Observation No. 15, Page 91	10. The creation, organization and operation of an Internal Audit Service (IAS) mandated under Section 2 of RA No. 3456 as amended by RA No. 4177 was not undertaken by the City, thus, Management was not accorded with the assistance in the achievement of an efficient and effective fiscal administration and performance of agency affairs and functions.	We recommended that the LCE facilitate the creation, organization and operation of the City's IAS as required under RA No. 3456 as amended by RA No. 4177, to assist in the achievement of an efficient and effective fiscal administration and performance of City's affairs and functions.		Office of the City Mayor			Ongoing		
CY 2018 AAR, Observation No. 16, Page 92	11. The excess amount of collections/proceeds from sale of bid documents and other related fees amounting to P13.958 million as of December 31, 2018 was still being maintained under the TF instead of transferring the same to the GF pursuant to Item 6.2 of DBM Circular No. 2004-5A.	We recommended that Management direct the City Treasurer to cause the immediate transfer of the unutilized amount of the proceeds from the collection of bid documents and related fees from the TF to the GF		OCAT	2024	2024	Fully Implemented		The OCAT already determined the correct amount of collection/proceed from sale of bid documents and other related fees to be transferred to the GF amounting to Php6,923,146.93. The said amount is already transferred to the GF thru JEV No. 300-24-04-06 dated 15 June 2024

Agency sign-off:


 Jonathan T. Galorio
 OIC - Office of the City Accountant
 Name and Position of Agency Officer

31-Jul-24
 Date

Note: Status of implementation may either be (a) Fully implemented, (b) Ongoing, (c) Not Implemented, (d) Partially Implemented, or (e) Delayed